

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	
	:	
GATEWAY TERMINALS, LLC;	:	FMC Docket No.: 22-12
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
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**RESPONDENTS’ ANSWER TO
FIRST AMENDED VERIFIED COMPLAINT**

Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“Ports America”), SSA Atlantic, LLC (“SSA”), and Ceres Marine Terminals, Inc. (“Ceres”) (collectively, “Respondents”), hereby submit their Answer to the First Amended Verified Complaint filed by Complainant, International Longshoremen’s Association (“ILA”).

PARTIES

1. Admitted.
2. Admitted in part and denied in part. Respondents admit that Gateway is a Georgia limited liability company with a principal place of business at 1 Greer Road, Suite 1 Rae’s Hall, Garden City, GA 31408 and that Gateway is a joint venture. Respondents aver that Gateway is owned by an entity known as Southeast Stevedoring Holdings, LLC (“SSH”) and that SSH is

owned by SSA, Ceres, and an entity known as Marine Terminals Corporation – East (“MTCE”). Respondents deny the remaining allegations in Paragraph 2.

3. Admitted in part and denied in part. Respondents admit that CSC is a Delaware limited liability company with a principal place of business at 2265 Clements Ferry Road, Suite 310B, Charleston, SC 29492 and that CSC is a joint venture. Respondents aver that Gateway is owned by an entity known as Southeast Stevedoring Holdings, LLC (“SSH”) and that SSH is owned by SSA, Ceres, and MTCE. Respondents deny the remaining allegations in Paragraph 3.

4. Admitted.

5. Admitted.

6. Admitted in part and denied in part. Respondents admit that Ceres is a Maryland corporation with its principal place of business located at 565 Marriott Drive, Suite 400 Nashville, TN 37214. Respondents deny that Ceres has a place of business in Savannah, GA.

7. Admitted in part and denied in part. Respondents admit the allegations in Paragraph 7 as Ceres, SSA, Gateway, and CSC. Respondents deny the allegations in Paragraph 7 as to Ports America.

8. Denied. Respondents aver that Ports America, SSA, and Ceres are members of multi-employer bargaining associations.

SUBJECT MATTER JURISDICTION

9. Paragraph 9 states a legal conclusion to which no response is required. To the extent a response is required, Respondents deny the allegations in Paragraph 9.

PERSONAL JURISDICTION OVER RESPONDENTS

10. Paragraph 10 states a legal conclusion to which no response is required. To the extent a response is required, Respondents deny that they are “marine terminal operators” as defined at 46 U.S.C. § 40102(15) and thus deny that the Commission has personal jurisdiction over them on that basis.

11. Denied.

12. Denied.

13. Denied.

FACTUAL ALLEGATIONS

14. Denied. Respondents aver that the South Carolina State Ports Authority is an arm of the State of South Carolina, which owns the Port of Charleston and that the Georgia Ports Authority is an arm of the State of Georgia, respectively, which owns the Port of Savannah. Further, Respondents lack sufficient information to admit or deny the remaining allegations in Paragraph 14, and therefore denies those allegations.

15. Denied. Respondents aver that Ceres and SSA have entered into agreements with Georgia Ports Authority, but not as described in Paragraph 15.

16. Denied.

17. Denied.

18. Denied.

19. Denied.

20. Denied.

21. Denied.

22. Denied.

23. Denied.

24. Denied.

25. Denied.

26. Denied.

27. Denied.

28. Denied.

29. Denied.

30. Paragraph 30 states a legal conclusion to which no response is required. To the extent a response is required, Respondents deny that they are “marine terminal operators” as defined at 46 U.S.C. § 40102(15) and thus deny that the Commission has jurisdiction over them on that basis.

31. Paragraph 31 states a legal conclusion to which no response is required. To the extent a response is required, Respondents admit that Gateway and CSC are joint ventures but deny that Ports America, Ceres, and SSA are “marine terminal operators” as defined at 46 U.S.C. § 40102(15) and thus deny that the Commission has jurisdiction over Respondents on that basis.

The Proposed Cooperative Working Agreement

32. Admitted, except that Respondents deny the allegations regarding the FMC Agreement number. Respondents further aver that the agreement filed as Exhibit B to the Amended Complaint is the same document that ILA refers to as the “Proposed Agreement.”

33. The document ILA refers to as the “Proposed Agreement” is the same document attached to the Amended Complaint as Exhibit B. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

34. The document ILA refers to as the “Proposed Agreement” is the same document attached to the Amended Complaint as Exhibit B. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

35. The document ILA refers to as the “Proposed Agreement” is the same document attached to the Amended Complaint as Exhibit B. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

36. Denied.

37. Denied.

38. Denied.

39. Denied.

40. Denied. Respondents aver that the Ports are marine terminal operators.

41. Exhibit A to the Amended Complaint is a document that speaks for itself, and Respondents respectfully refer the Commission to that document. Respondents lack sufficient knowledge or information to admit or deny whether ILA filed the document “after receiving a copy of the Proposed Agreement” and therefore deny that allegation.

42. Paragraph 42 refers to Exhibit A to the Amended Complaint. Exhibit A is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

43. Paragraph 43 refers to Exhibit A to the Amended Complaint. Exhibit A is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

44. Paragraph 44 refers to Exhibit A to the Amended Complaint. Exhibit A is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

45. Admitted in part and denied in part. Respondents admit that the Commission requested additional information from SSA, Ceres, and Ports America after the date of ILA's Comment at Exhibit A. The remaining allegations in Paragraph 45 are denied.

46. Admitted in part and denied in part. Respondents admit that SSA, Ceres, and Ports America withdrew the document ILA refers to as the "Proposed Agreement" from the Commission's consideration. The remaining allegations in Paragraph 46 are denied.

47. Admitted in part and denied in part. Respondents admit that SSA, Ceres, and Ports America withdrew the document ILA refers to as the "Proposed Agreement" from the Commission's consideration. Respondents lack sufficient knowledge or information to admit or deny the remaining allegations in Paragraph 47 and therefore deny those allegations.

The Joint Ventures

48. Admitted in part and denied in part. Respondents admit that CSC was formed in the state of Delaware on January 29, 2020, and that CSC is a joint venture. Respondents aver that CSC was established by SSA, Ceres, and MTCE. Respondents deny the remaining allegations in Paragraph 48.

49. Denied as stated. Respondents aver that Gateway was established by SSA, Ceres, and MTCE. Respondents deny the remaining allegations in Paragraph 49.

50. Respondents admit that Gateway was originally formed in the State of Georgia on June 20, 1995. Respondents deny the remaining allegations in Paragraph 50, but aver that Gateway is a limited liability company, that the original operating agreement dated June 14, 1995 was made

and entered into by and among Cooper/T. Smith Stevedoring Co., Inc. (“CTS”) and Carolina Stevedoring Company, Inc. for itself and its affiliate Ryan-Walsh, Inc. (“SSA/R-W”), and an operating agreement was made and entered into on December 30, 1995, by and among CTS, SSA/R-W, and Ceres.

51. Denied.

52. Denied. Respondents aver that Gateway was administratively dissolved on July 9, 2005, was reinstated as of January 26, 2009, and has remained in good standing with the Corporations Division of the Office of the Georgia Secretary of State since 2009.

53. Denied.

54. Admitted in part and denied in part. Respondents admit that the document referred to by ILA as “the Agreement” was withdrawn from consideration from the Commission. The remaining allegations in Paragraph 54 are denied.

55. Denied.

56. Paragraph 56 refers to Exhibit B to the Amended Complaint. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

57. Paragraph 57 refers to Exhibit B to the Amended Complaint. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

58. Paragraph 58 refers to Exhibit B to the Amended Complaint. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

59. Paragraph 59 refers to Exhibit B to the Amended Complaint. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

60. Paragraph 60 refers to Exhibit B to the Amended Complaint. Exhibit B is a document that speaks for itself, and Respondents respectfully refer the Commission to that document.

61. Denied.

62. Denied.

63. Denied as stated. Respondents aver that CSC and Gateway are joint ventures owned by SSA, Ceres, and Marine Terminal Corporation – East. Respondents deny the remaining allegations in Paragraph 63.

64. Denied.

65. Denied.

66. Denied.

67. Respondents lack sufficient knowledge or information to admit or deny the allegations in Paragraph 67, and therefore deny those allegations.

COUNT ONE
OPERATING UNDER AN INEFFECTIVE AGREEMENT

68. In response to Paragraph 68, Respondents repeat and re-allege their responses to Paragraphs 1-67 as if fully set forth therein.

69. Paragraph 69 states a legal conclusion to which no response is required. To the extent a response is required, Respondents state that “Section 40301(b) of the Shipping Act” is a thing that speaks for itself and respectfully refer the Commission to that Section.

70. Paragraph 70 states a legal conclusion to which no response is required. To the extent a response is required, Respondents state that “Section 41102(b) of the Shipping Act” is a thing that speaks for itself and respectfully refer the Commission to that Section.

71. Paragraph 71 states a legal conclusion to which no response is required. To the extent a response is required, Respondents state that “46 C.F.R. § 535.901 of the Commission’s Rules and Regulations” is a thing that speaks for itself and respectfully refer the Commission to 46 C.F.R. § 535.901.

72. The document ILA refers to in Paragraph 72 as the “Proposed Agreement” is attached to the Amended Complaint as Exhibit B and is a document that speaks for itself. Respondents respectfully refer the Commission to that document.

73. The document ILA refers to in Paragraph 73 as the “Proposed Agreement” is attached to the Amended Complaint as Exhibit B and is a document that speaks for itself. Respondents respectfully refer the Commission to that document.

74. The document ILA refers to in Paragraph 74 as the “Proposed Agreement” is attached to the Amended Complaint as Exhibit B and is a document that speaks for itself. Respondents respectfully refer the Commission to that document.

75. Denied.

76. Denied.

77. Denied.

78. Respondents admit that the document ILA refers to as the “Proposed Agreement” was withdrawn from the Commission’s consideration. The remaining allegations in Paragraph 78 are denied.

79. Denied.

80. Denied.

81. Denied.

82. Denied.

83. Denied.

COUNT TWO
UNDUE OR UNREASONABLE PREJUDICE OR DISADVANTAGE

84. In response to Paragraph 84, Respondents repeat and re-allege their responses to Paragraphs 1-83 as if fully set forth therein.

85. Paragraph 85 states a legal conclusion to which no response is required. To the extent a response is required, Respondents state that “Section 41106 (2) of the Shipping Act, 46 U.S.C. § 41106 (2),” is a thing that speaks for itself and respectfully refer the Commission to that Section.

86. Denied.

87. Denied.

88. Denied.

89. Denied.

90. Denied.

91. Denied.

92. Denied.

93. Respondents deny the allegation in Paragraph 93 that “The only way to avoid the rates would be to refuse to utilize the ports of Charleston or Savannah.” Respondents lack sufficient knowledge or information to admit or deny the remaining allegations in Paragraph 93 and therefore deny those allegations.

94. Denied.

95. Denied.

96. Denied.

**COUNT THREE
REFUSAL TO DEAL AND NEGOTIATE**

97. In response to Paragraph 97, Respondents repeat and re-allege their responses to Paragraphs 1-96 as if fully set forth therein.

98. Paragraph 98 states a legal conclusion to which no response is required. To the extent a response is required, Respondents state that “Section 41106 (3) of the Shipping Act, 46 U.S.C. § 41106 (3),” is a thing that speaks for itself and respectfully refer the Commission to that Section.

99. Denied.

100. Denied.

101. Denied.

102. Denied.

103. Denied.

**COUNT FOUR
REFUSAL TO NEGOTIATE WITH THE ILA AND ITS AFFILIATED LOCALS**

104. In response to Paragraph 104, Respondents repeat and re-allege their responses to Paragraphs 1-103 as if fully set forth therein.

105. Paragraph 105 states a legal conclusion to which no response is required. To the extent a response is required, Respondents state that “Section 41106(3) of the Shipping Act, 46 U.S.C. § 41106 (3),” is a thing that speaks for itself and respectfully refer the Commission to that Section.

106. Denied. Respondents aver that Ports America, SSA, and Ceres are members of multi-employer bargaining associations.

107. Denied.

108. Denied.

109. Denied.

110. Denied.

DESIGNATION OF HEARING PLACE

Respondents have no objection to ILA's designation of a hearing place.

PRAYER FOR RELIEF

111. Respondents deny the allegations contained within the unnumbered "Wherefore" clause that follows Paragraph 110.

112. To the extent the Amended Complaint contains any allegations or assertions that have not been heretofore admitted or denied, they are deemed to be denied.

AFFIRMATIVE DEFENSES

Without conceding that Respondents bear the burden of proof on any such issues, Respondents assert the following Affirmative Defenses to the Amended Complaint:

1. The claims alleged in the Amended Complaint are barred, in whole or in part, because they fail to state a cause of action.

2. The claims alleged in the Amended Complaint are barred, in whole or part, because ILA has not suffered any damages and, therefore, the Commission cannot grant any relief.

3. The claims alleged in the Amended Complaint are barred, in whole or in part, because the Commission lacks subject matter jurisdiction over the claims.

4. The claims alleged in the Amended Complaint are barred, in whole or in part, because the doctrine of sovereign immunity prohibits the Commission from granting the relief sought by ILA.

Dated: November 18, 2022

Respectfully submitted,



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FLORIDA, INC.; CERES MARINE
TERMINALS, INC.; and SSA
ATLANTIC, LLC**

CERTIFICATE OF SERVICE

I hereby certify that the foregoing Answer was provided to Complainant's counsel of record by email on this 18th day of November 2022.

Matthew J. Thomas

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Verification

I have reviewed the foregoing Answer and I verify under penalty of perjury that the facts alleged therein are true and correct to the best of my knowledge, information and belief, including information received from others.

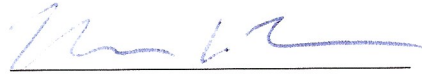
James Philbin

**James P. Philbin, Counsel
GATEWAY TERMINALS, LLC,
CHARLESTON STEVEDORING
COMPANY and CERES MARINE
TERMINALS, INC.;**

November 18, 2022

Verification

I have reviewed the foregoing Answer and I verify under penalty of perjury that the facts alleged therein are true and correct to the best of my knowledge, information and belief, including information received from others.



Name: Matthew P. Melnick

Title: General Counsel

SSA ATLANTIC, LLC

November 18, 2022

Verification

I have reviewed the foregoing Answer and I verify under penalty of perjury that the facts alleged therein are true and correct to the best of my knowledge, information and belief, including information received from others.



Name: Christian Olson

Title: Secretary

PORTS AMERICA FLORIDA, INC.

November 18, 2022